

economy globally, behind only the US and China.

Over the next five years, gross capital formation will increase and continue in excess of \$1 trillion annually. The massive infrastructure investment will have yielded significant productivity leaps and lower supply chain costs, providing impetus to India's volume manufacturing, production, employment, and export capabilities. In five years, these could increase India's goods exports to a level where the trade balance becomes positive, especially in light of the large services sector export surpluses.

Globally, India will remain an attractive FDI destination, with an estimated \$75-80 billion annually for five years. This capital will be channelled into strengthening industrial capabilities, developing new technologies, building infrastructure and upskilling the population.

With rising aspirations and the government's push to improve access to education, gross enrolment rates in higher education may increase from 28% to about 35-36% in 2029. The system will produce 15 million graduates every year. These graduates will be a valuable resource in accelerating India's capabilities in research, manufacturing, information technologies, financial technologies and more.

With all these various vectors converging, employment opportunities will increase, especially in higher growth sectors in industry and services. However, India has a wage problem—most formal jobs currently pay less than ₹25,000 per month. This should increase with economic growth and policy interventions like increasing minimum wages, especially in urban areas.



TANGIBLE ECONOMIC GROWTH, RISING CONSUMPTION, HEALTHY FOREX, INCREASED JOB CREATION, AND MATURE TECH SERVICES GIVE INDIANS HOPE FOR THE NEXT FIVE YEARS

With elevated aspirations and the advent of the digital age, wage expectations are high and are only expected to increase.

India's digital prowess will continue to strengthen too. India is the world's third-largest digital power and is at a crucial point. The nation pioneered population-scale digital public goods (DPGs) like Aadhaar and UPI (Unified Payments Interface) that form the foundation for financial inclusion of India's 1.4 billion-strong population.

The nation will also continue to lead the world in start-ups, currently in third position. India's tech start-up sector too is booming, with nearly 115,000 start-ups and a total investment of \$140 billion since 2014. It has yielded 109 unicorns and \$550 billion in value created, which is expected to grow to 250 unicorns and \$1.5 trillion in value by 2026. By 2029, India's start-up sector could close the gap in value

to China's ecosystem. With the continued growth of India's spectacularly successful IT industry, the nation is also on track to host more software engineers than the US in the next two years.

With tangible economic growth, significant investments and infrastructure spending, increased productivity with reduced logistics costs, rising domestic consumption indicated by GST, a robust banking system with adequate capitalisation to meet the needs of the growing economy, healthy foreign exchange reserves, increased formalisation and job creation, and a highly matured tech services and innovative start-up ecosystem, Indians can look ahead to the next five years with great optimism. **BT**

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